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Points to remember

- Expenditures of a business can be classified into capital, revenue and differred revenue expenditure.
- Capital expenditure is an expenditure incurred during an accounting period, the benefits of which will be available for more than one accounting period.
- Revenue expenditure is the expenditure incurred for day today running of the business or for maintaining the earning capacity of the business.
- Deferred revenue expenditure is expenditure of revenue nature incurred for getting benefits which extends to two or more years.
- Revenue receipts are incomes derived from the normal activities of the business. Capital receipts are derived from transactions that are not the usual activities of the business.
- Revenue expenditure is a routine expenditure incurred in the normal course of business.

Self–examination questions



I Multiple choice questions

Choose the correct answer

1. Amount spent on increasing the seating capacity in a cinema hall is

   (a) Capital expenditure

   (b) Revenue expenditure

   (c) Deferred revenue expenditure

   (d) None of the above.

2. Expenditure incurred ` 20,000 for trial run of a newly installed machinery will be

   (a) Preliminary expense

   (b) Revenue expenditure

   (c) Capital expenditure

   (d) Deferred revenue expenditure